

Document 13: Market → Sector → Stock Decision Tree (PASS / WAIT / BLOCK)

Goal: A *vertical*, no-left-right-scroll decision tree that you can use for scanning and automation logs.

1) Output States (Standardized)

-  PASS → Continue to next stage (or to Tier-2 scoring if final gate passes)
-  WAIT → Do not enter now; generate **conditions** to upgrade to PASS
-  BLOCK → No trade; stop evaluation; log reason

2) Stage 0 — Data Integrity Gate (P0)

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```
1 [START]
2 |
3 v
4 G0: DATA INTEGRITY
5 |
6 |-- If OHLC or Volume missing/invalid -> BLOCK
7 |
8 |-- If Delivery/Trades/Value missing (non-critical) -> PASS (DataConfidence=Medium)
9 |
10 -- Else -> PASS (DataConfidence=High)
```

PASS Criteria

- OHLC + Volume present and valid
- No abnormal values (delivery% > 100, negative volume, etc.)

WAIT Criteria (rare here)

- Typically not WAIT—either usable or blocked

BLOCK Criteria

- Missing core fields (OHLC/Volume), corrupt rows, wrong dates

3) Stage 1 — MARKET GATE (Tier-1: G2 + G3)

3.1 Market Regime Gate (G2)

```
1 G2: MARKET REGIME (Index Context)
2 |
3 |-- If Index is in HTF opposing zone vs intended direction -> BLOCK
4 |
5 |-- If Index is mid-range / choppy / mixed bias -> WAIT
6 |
7 '-- If Index bias + location supports (HTF zone or clean trend) -> PASS
8
```



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PASS Examples

- Index near HTF demand (bullish hunting zone)
- Index near HTF supply (bearish hunting zone)
- Clean trend with structure intact

WAIT Examples

- Index in no-man's land (mid-range)
- Conflicting MTF signals (weekly up but daily breaking down)

BLOCK Examples

- Bullish trades while index is inside Monthly supply (opposing)
- Extreme volatility/shock regime (gap-risks)

3.2 Market Structure Gate (G3) — Index SMC Check

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```
1 G3: MARKET STRUCTURE (Liquidity + Structure)
2 |
3 |-- If clear liquidity pool exists but NOT swept -> WAIT
4 |
5 |-- If structure broken against direction OR failed BOS -> BLOCK
6 |
7 '-- If sweep completed + structure shift confirmed -> PASS
```

✓ Your core institutional sequence at market level:

- Sweep (index) → CHoCH/BOS (index) → directional bias

4) Stage 2 — SECTOR GATE (Tier-1: G4)

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```
1 G4: SECTOR REGIME (Strength + Structure + Rotation)
2 |
3 |-- If Sector in HTF opposing zone / broken structure -> BLOCK
4 |
5 |-- If Sector neutral or consolidating without trigger -> WAIT
6 |
7 '-- If Sector aligned + peers show strength -> PASS
```

PASS Criteria

- Sector structure aligns with market bias
- Sector shows early reversal at HTF zone OR continuation trend
- Peer cluster moving (links to Tier-3 Peer Convergence)

WAIT Criteria

- Sector range-bound and no BOS/trigger yet
- Peers mixed (some up, some down)

BLOCK Criteria

- Sector breakdown / distribution regime
- Sector sitting inside HTF opposing zone

5) Stage 3 — STOCK ELIGIBILITY GATE (Tier-1: G5)

```
1 G5: STOCK ELIGIBILITY (Universe + Liquidity + Tradability)
2 |
3 |-- If illiquid / manipulated behavior / poor spreads -> BLOCK
4 |
5 |-- If tradable but EXTENDED far from HTF zones -> WAIT
6 |
7 '-- If liquid + clean -> PASS
```

PASS Criteria

- Preferably within **Nifty100 universe** (your realistic FII universe)
- Healthy average volume

WAIT Criteria

- Great setup but price is extended; you prefer pullback to OB/zone

BLOCK Criteria

- Illiquid (signals unreliable)
- Options illiquid (if strategy requires options)

6) Stage 4 — EVENT CALENDAR GATE (Tier-1: G6)

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```
1 G6: EVENT RISK (Results / RBI / Macro / Global Shock)
2 |
3 |-- If High-risk event (earnings/RBI) is today or tomorrow -> BLOCK or WAIT
4 |
5 |-- If moderate event today -> WAIT
6 |
7 '-- If no major event window -> PASS
```

Rule of thumb (simple + practical)

- Earnings/RBI:
 - T-1 & event day: WAIT/BLOCK (depending on risk appetite)
 - Re-evaluate after first post-event close

Outputs

- PASS → continue
- WAIT → "Hold entry; reassess post-event"
- BLOCK → "Skip; gap-risk invalidates structure edge"

7) If Tier-1 passes → Move to Tier-2 Core Scoring (S2-S6)

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```
1 IF (G0 PASS) AND (G2 PASS) AND (G3 PASS) AND (G4 PASS) AND (G5 PASS) AND (G6 PASS)
2   -> Proceed to Tier 2 scoring (S2-S6)
3 ELSE
4   -> STOP (WAIT/BLOCK with reasons & conditions)
5 ``
```

8) Tier-2 / Tier-4 Quick Link (So the tree is complete)

Once Tier-1 passes:

Tier-2 Core

- S2 (zones)
- S4 (sweep)
- S5 (structure) → S5=0 BLOCK
- S3 (FVG) → S3<0 BLOCK
- S6 (institutional fingerprint)

Tier-4 Coherence output

-  COHERENT → Tier-5 execute mapping
-  PARTIAL → WAIT + conditions
-  INCOHERENT → BLOCK

9) "WAIT → PASS" Upgrade Conditions (Most Useful Part)

When the scanner outputs WAIT, it must output the *exact trigger*.

Common WAIT conditions

WAIT from Market (G2/G3)

- "Index must sweep liquidity at level X and reclaim"
- "Index must show CHoCH on 4H/Daily"
- "Need BOS confirmation after sweep"

WAIT from Sector (G4)

- "Sector needs BOS above range high"
- "Peers must align (majority green + rising delivery)"

WAIT from Stock Eligibility (G5)

- "Wait for pullback to HTF OB zone"
- "Wait for first rejection candle at zone"

WAIT from Event Gate (G6)

- "Wait for earnings; reassess post-event close"

10) Logging Template (Automation-ready, vertical)

Use this exact structure to avoid messy logs:

```
1 SCAN RESULT
2 State: PASS / WAIT / BLOCK
3 Stage Failed: G0 / G2 / G3 / G4 / G5 / G6
4 Reason:
5 - {one-line reason}
6 Conditions to Upgrade (only if WAIT):
7 - {condition 1}
8 - {condition 2}
9 DataConfidence: High / Medium / Low
```

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11) Super-Compact Version (for daily scanning)



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- 1 Market PASS?
- 2 - HTF zone aligned?
- 3 - Liquidity sweep complete?
- 4 - Structure confirmed?
- 5
- 6 Sector PASS?
- 7 - Sector aligned + peers supporting?
- 8
- 9 Stock PASS?
- 10 - Liquid + tradable + not extended?
- 11
- 12 Event PASS?
- 13 - No high gap-risk event window?
- 14
- 15 → If all YES: score S2-S6 → enhance → coherence → strategy
- 16